MGT602 Solved MCQs by Asim,SalmanAsif E

ALL NEW QUIZES DATA
SOLVED BY 4 MAD's GROUP

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1. _____ is required if a company wants to be more flexible in adopting changes.
Management commitment
Contact with customers
Technology
More productivity

2. Which two work environments should be good for spawning the new enterprises?
Finance and marketing
Finance and R&D
Marketing and R&D
Marketing and IT

3. The entrepreneur must possess the abilities:
Creative
Conceptualization
Understanding environment
All of the given options

4. Which of the following statements about the intrepreneurial climate is (are) true?
Trial and error are discouraged.
Resources of the firm need to be available and easily accessible
A multidisciplinary approach is discouraged.
Failures are not allowed

5. Which of the following is alternatively called corporate venturing?
Entrepreneurship
Intrapreneurship
Act of stating a new venture
Offering new products by an existing company

6. An entrepreneur is a person who is a:
Risk taker
Initiator
Actor
All of the given options

7. Following are the important aspects of international success EXCEPT:
Planning
Diversification
Reporting
Control

8. A typical inventor is usually _____.
Highly creative & in love with the invention
Does not encourage change
Willing to modify the invention in order to augment commercial benefit
None of the given options

9. All of the following are the broad categories of External forces EXCEPT:
Economic forces
Socioeconomic forces
Technological forces
Competitive forces

10. An entrepreneur doing business within the national border is called:

International entrepreneurship
Intrapreneurship
Domestic entrepreneurship
Imports
11. Selling goods to another country by taking care of transactions is called:
Indirect exporting
Direct exporting
Importing
Management contract
12. The difference between the value of a country's imports and exports over time is called:
Deficit exports
Deficit imports
Balance of payment
Balance of debt

14. In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under _____ environment.
Economic
Political
Cultural
Technological
15. The chief motivational factor for _____ entrepreneurs to leave jobs is the frustration of not being allowed to perform at the level of which they are capable.
Male
Female
Young
All of the given options
16. Gazelles are the firms with:
High growth rate
Moderate growth rate
Zero% growth rate
Zero% growth rate
17. When the multiplicity of environments become too complex to handle, the international entrepreneurs often _____
Go for mergers
Diversify
Decentralize operations
Sale out the foreign business
18. The activity which occurs when the new venture is started are called:
Motivation
Business skills
Departure point
Goal orientation
19. Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?
Creative destruction
New business model
Anatomization
None of the given options
20. The entrepreneur utilizes the resources through:
Identifying and evaluating the opportunity
Developing a business plan
Implementing the business plan

Manage the enterprise

21. Which of the following areas are preferred by women entrepreneurs?

Administration

Utilities

Manufacturing

None of the above

22. An individual's need to be recognized is called:

Need for independence

Need for affiliation

Need of fame

Need for achievement

23. Which one of the following is NOT an intrapreneurial leadership characteristic?

Understands environment

Encourage the team work

Not flexible

Persistent

24. When the Directorate of Industries, Balochistan was formed?

1972

1973

1975

1976

25. Which one of the following is important for international business to avoid trade barriers?

Protectionist attitude

Entrepreneurial partnering

Free trade areas

None of the given options

26. SBIR grant program is controlled by:

10 Agencies

11 Agencies

12 Agencies

13 Agencies

27. Which one of the following is the systematic assembly of all the facts about a job?

Job Specification

Job Description

Job Identification

Job Analysis

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solved by vuZs solution team
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Which one of the following should consider in economy while conducting environmental analysis?
Select correct option:

GNP
Disposable income (Tariq)
Unemployment
Channel of distribution

Economic Trends: The macro economic environment analysis will identify trends such as changes in personal disposable income, interest rates, inflation and unemployment rates.

Which of the following source of capital is relatively faster and less costly than other funding? Select correct option:
Outsourcing
Public offering
Private offering (shamir)
Bootstrap financing
page # 89: A private offering is faster and less costly than other funding.

future of the new venture depends on the _____. Select correct option:
Positive Cash flow (shafia)
Employees loyalty
Business ideas
Economy

following has NO liability on the part of entrepreneur business? Select correct option:
Partners
Board of advisors
Shareholders (shafia)
Board of directors

Which of the following ratio will be helpful for assessing the firm's capital structure?
Select correct option:

Current ratio
Acid test ratio
Profitability ratio
Debt to equity ratio (MK)
page no 100 :Debt to equity ratio assesses the firm's capital structure. It provides a measure of risk by considering the funds invested by creditors and investors.

Following are the types of non equity arrangements EXCEPT:
Select correct option:

Licensing

Management contracts
Direct export (MK)
Turnkey projects
Pgae no 31 Lesson 11

Which of the following is essential if your business deals with the Paper production?.
Select correct option:

Operational Plan
Bank loan
Production plan (MK)
Organizational plan
Page 58
If a new venture is a manufacturing operation, a production plan is necessary. This plan should describe the complete manufacturing process, including whether or not the process is to be subcontracted.

The startups which rarely go public are called: Select correct option:
Life style
Foundation Company (MK)
Small company
High potential venture

page no 8 : A type of company formed from research and development that usually does not go public. This firm can grow in five to ten years from 40 to 400 employees.

following firm achieves modest growth: Select correct option:
High potential growth firm
Foundation firm (MK)
Life style
Public company

following factor can create the managerial difficulties in the joint ventures between foreign companies? Select correct option:**Cultural differences (MK)**
Economic policies
Public ignorance
Government taxes
Page no 103 : Cultural differences can create managerial difficulties. Government policies sometimes can have a negative impact on the venture. The benefits usually outweigh the drawbacks.

_____ is commonly used to measure the short-term solvency of the venture? Select correct option:
Debt to equity ratio
Current ratio (MK)
Profitability ratio
Activity ratio
Page no 99 : Current ratio is commonly used to measure the short-term solvency of the venture or its ability to meet its short-term debts.

Which of the following is NOT a characteristic of a marketing plan? Select correct option:
It should be flexible
It should be long and detailed (MK)

It should be based on facts and valid assumptions
it should provide a strategy

Which of the following is the best option for starting the business with equity financing? Select correct option:
Sole Proprietor
Corporation (doubted) mk
Partnership firm
None of the above
Page 81 : Equity financing offers the investor some form of ownership position in the venture.
a. The investor shares in the profits of the venture.
b. Key factors in choosing the type of financing are availability of funds, assets of the venture, and prevailing interest rates.
c. Usually a combination of debt and equity financing is used.

SIDB was established for the province of _____.
Select correct option:

NWFP (glory)
Sindh
Punjab
Balochistan
ref at pg 84 under training center heading lec 37

Which one of the following is a method for obtaining new ideas and solutions by focusing on problems?
Select correct option:

Product inventory analysis
Gordon method
Checklist method
Scientific method
ref pg 35

Which of the following is NOT an advantage of the acquisition?
Select correct option:

Goodwill
Skilled employees
Favorable location
Political instability (umeed)

The private investors are primarily interested in recovering his/her investment plus a good_____.
Select correct option:

Dividend
Shares prices
Rate of return (umeed)
Business repute

The creative process for problem solving that involves making the strange familiar in first step and then making the familiar strange through personal, direct or symbolic analogy is called:
Select correct option:

Synectics (glory)

Gordon method
Checklist method
Scientific method
ref at pg 35 lec 16 under creative problem heading

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Thank you for spending time for the help of all the students. (vuZs Team)

1. One effective way to begin the marketing plan is

a. To make a list of the information that will be needed to prepare the marketing plan. Page # 62

b. Gathering Data from Secondary Sources
c. Gathering Information from Primary Sources.
d. None of the options given

2. A focus group

a. Is a sample of 10 or 12 potential investors who participate in a discussion?
b. Is a sample of 10 or 12 potential employees who participate in a discussion?

c. Is a sample of 10 or 12 potential customers who participate in a discussion? Page NO 63

Focus groups

A focus group is a sample of 10 or 12 potential customers who participate in a discussion. Groups discuss issues in an Informal, open format.
d. None of the options given

3. The situation analysis is

a. Defining Target Market/Opportunities and Threats.
b. Considering Strengths and Weaknesses

c. A review of where the company has been and considers environmental factors. Page NO : 65

The situation analysis is a review of where the company has been and considers many of the environmental factors. d. None of the options given

4. One of the difficult decisions

a. Is about the distribution of the product

b. Is determining the appropriate is determining the appropriate price for the product. Page # 66

3. Pricing.

One of the difficult decisions is determining the appropriate price for the product.
Factors such as costs, discounts, freight, and markups must be considered. Marketing research can help determine a reasonable price that consumers are willing to pay.
c. Is about the promotion of the product
d. None of the options given
http://www.vuzs.info/ (http://www.vuzs.info/)

5. Which of the following statement is true for marketing system?

a. It is all about the internal envoi mental factors

b. It identifies the major interacting components, both internal and external Page # 64

The marketing system identifies the major interacting components, both internal and external, that enable the firm to provide products to the marketplace. Environment factors, although largely uncontrollable, should be studied.

c. It's about the financial needs of the venture
d. None of the options given

6. In setting marketing goals and objectives the entrepreneur must
a. Set the price
b. Distribution place
c. Must satisfy customers
d. None of the above H.outs Page # 61
http://www.vuzs.info/ (http://www.vuzs.info/)
7.

The financial plan provides a complete picture of
a. How much and when the funds are coming into the organization.
b. Where the funds are going.
c. How much cash is available?
d. All of the options given Handouts Page No:75

8. Before developing the pro forma income statement, the entrepreneur should
a. Prepare operating budgets
b. Capital budgets.
c. None of the options given
d. Both of the options given (a, b) Handouts Page # 75

9. Which of the following statement is true?
a. Cash flow is same as profit.
b. Profit is the result of subtracting expenses from sales.
PRO FORM A CASH FLOW
A. Cash flow is not the same as profit.
1. Profit is the result of subtracting expenses from sales.
2. Cash flow results from the difference between actual cash receipts and cash payments.
3. Cash flows only when actual payments are made or received.

c. Cash flow results from the difference between all cash available and cash payments.
d. Cash flows only when actual payments are not made but only received.

10. Which of the statement is not true?
a. The S Corporation combines the tax advantages of the partnership and the corporation. Handouts page # 72
The S Corporation combines the tax advantages of the partnership and the corporation.
1. It is designed so that the venture income is declared as personal income on a pro rata basis.
2. Shareholders benefit from all of the income and the deductions of the business.
b. S Corporations represent almost half of all corporate filings.
c. A popular new entity is the limited liability company (LLC)
d. Limited liability Company (LLC) offers similar disadvantages as the S Corporation

6. In some countries, point of purchase displays is not allowed in retail stores. Such Differences are studied by international entrepreneurs under _____ a. Economic
b. Political
c. Cultural
d. Technological
7. Entrepreneurial success has been significant because of the culture and the political and economic systems in _____.
a. European countries
b. Asian countries H.outs Page No: 37
c. Transition economies

d. Middle east

8. Having more than 50% ownership position that provides the entrepreneur with managerial control is called _____.
a. Joint venture
b. Majority interest H.outs Page No: 33
c. Horizontal merger
d. Diversified activity merger

9. The under-developed or lesser developed countries need manufacturing technology and infrastructure and yet do not want to turn over substantial portion of their economy to foreign ownership. Which of the following is a solution to this dilemma?
a. Management contract
b. Indirect exporting
c. Licensing
d. Turn-key project H.outs Page No: 31
Turn-key projects
Lesser-developed countries are able to obtain manufacturing technology without surrendering economic control through turn-key projects. A foreign entrepreneur builds a facility, trains the workers, and trains the management to run the installation.

10. The development of a new venture based on an inventor's work often requires _____.
a. Expertise of an entrepreneur Page # 28
b. Heavy investment from financers
c. Skilled human resources
d. Highly educated staff